

Fund 9B
(Dollars in Thousands)

Activity Group Capital Investment Justification
Air Force Working Capital Fund
Consolidated Sustainment Activity Group (CSAG)

Fiscal Year (FY) 2025
Budget Estimates
February 2024

Department of the Air Force Depot Maintenance			Line No. & Item Description ADPE & TELECOM				Activity Identification HQ AFMC		
Element of Cost	FY2023			FY2024			FY2025		
	Quantity	Unit Cost	Total Cost	Quantity	Unit Cost	Total Cost	Quantity	Unit Cost	Total Cost
B. ADPE/Telecomm	1	799.9	799.9	1	674.0	674.0	1	3,500.0	3,500.0
Total	1	799.9	799.9	1	674.0	674.0	1	3,500.0	3,500.0
Narrative Justification:									
Description									
This capability represents an array of capital ADPE and Telecommunications investments that aligns with the overall Air Force strategic objectives for sustaining depot facilities and equipment. Projects will upgrade the infrastructure required to maintain the depot maintenance systems and equipment. All upgrades are implemented within the Air Force's common infrastructure. Investments include upgrading fiber optics, routers, servers and other infrastructure items required to support the implementation of an efficient depot maintenance support structure. The aforementioned investments ensure commonality and replacement of equipment before failure, incompatibility or obsolescence due to age. Equipment replacements are in accordance with the logistics strategic plan approved by the Deputy Under Secretary of Defense (Logistics).									
Economic Analysis									
An Economic Analysis was completed and is on file.									
Impact									
Upgrades are critical to maintaining system reliability and improving operating performance and ensuring the supportability of depot maintenance systems and equipment. New operating system will improve CSAG Maintenance Division's capability to actively monitor and make corrective actions in financial and operational performance. Support network infrastructure upgrades must be placed into service prior to upgrading operating systems. The Air Force will be unable to track financial, operational and equipment performance without planned infrastructure replacement and improvement. Lack of investments in this capability will impact the depot's ability to effectively monitor performance which results in cost increases, negative impacts to production, and reduction in aircraft availability for the warfighter.									

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Department of the Air Force Depot Maintenance			Line No. & Item Description SOFTWARE DEVELOPMENT				Activity Identification HQ AFMC		
Element of Cost	FY2023			FY2024			FY2025		
	Quantity	Unit Cost	Total Cost	Quantity	Unit Cost	Total Cost	Quantity	Unit Cost	Total Cost
C. Software Development	1	26,514.2	26,514.2	1	46,477.2	46,477.2	1	12,120.0	12,120.0
Total	1	26,514.2	26,514.2	1	46,477.2	46,477.2	1	12,120.0	12,120.0
Narrative Justification:									
Description									
This capability provides for development and acquisition of both operating and application software that support depot maintenance operations. Software requirements include systems programs, application programs, commercial-off-the-shelf (COTS) software, independent subroutines, databases, equipment upgrades, Test Program Sets (TPS) and software documentation. System application software may be acquired through (1) the purchase of a COTS system; (2) the development of new applications through either internal development (in-house) or contractual effort; or (3) the modernization of existing software that significantly expands and/or enhances its existing capabilities. In FY2024, increase of \$35M for MROi development budget controls have been realigned from Research, Development, Test & Evaluation (RDT&E) Program Element (PE) 0708055F Project 675329 to Department of Air Force (DAF) Working Capital Fund (WCF) Capital Investment Program (CIP).									
Economic Analysis									
Economic Analysis for MRO Financials completed and certified on 11 May 18.									
Impact									
Planned software upgrades are critical to maintaining continuous visibility for asset management as well as real-time decisions regarding efficient and effective maintenance due to changing conditions not only from the field but from within the maintenance wings themselves. The changes made to existing systems will allow successful implementation of more efficient maintenance concepts in order to effectively utilize the Air Logistics Complexes' resources. Efficiencies critical for long-term success will not be realized if projects remain unfunded.									

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Department of the Air Force Depot Maintenance			Line No. & Item Description MINOR CONSTRUCTION				Activity Identification HQ AFMC		
Element of Cost	FY2023			FY2024			FY2025		
	Quantity	Unit Cost	Total Cost	Quantity	Unit Cost	Total Cost	Quantity	Unit Cost	Total Cost
D. Minor Construction	1	26,618.1	26,618.1	1	0.0	0.0	0	23,570.0	23,570.0
Total	1	26,618.1	26,618.1	1	0.0	0.0	0	23,570.0	23,570.0
Narrative Justification:									
Description									
This category includes an array of minor construction projects that allows flexibility in adapting to new and changing workloads. Projects are smaller in scale (costing between \$250,000 and \$6,000,000) and are designed, scheduled, and constructed in accordance with Air Logistic Complexes' established priorities. These projects support the depot maintenance, mission requirements, correct safety and health problems; improve productivity through quality of life improvement projects, improve depot flow days and support office and work space reorganizations. In addition, MC projects provide construction required to install needed mission essential equipment and capital investment equipment. \$5M of Minor Construction has been allocated for the concrete Ramp Expansion to accompany the Temporary Fabric Hangars (WSS) to support the B-52 re-engine efforts.									
Economic Analysis									
An Economic Analysis was completed and is on file. EA waiver was obtained for the Ramp Expansion (MC) and temporary Fabric Hangars (WSS).									
Impact									
If facilities are not properly maintained or modernized based upon required depot workload, there will be work stoppages along with safety and security issues which affects weapon system availability. The minor construction that is required for new equipment setup will not be in place, thus severely impacting the depots' ability to efficiently provide repair services and meet warfighter requirements. The B-52 fleet will undergo a major modernization effort in conjunction with PDM starting in FY25 requiring additional dock space at OC-ALC. Current dock and ramp constraints are inadequate to support B-52 modernization efforts stressing the need for an expansion of the Ramp (Minor Construction) and the procurement of temporary Fabric Hangars (WSS).									

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Department of the Air Force Supply Management			Line No. & Item Description Maintenance, Repair, and Overhaul - Supply (MRO-S)			Activity Identification HQ AFMC			
Element of Cost	FY2023			FY2024			FY2025		
	Quantity	Unit Cost	Total Cost	Quantity	Unit Cost	Total Cost	Quantity	Unit Cost	Total Cost
C. Software Development	0	0.0	0.0	0	0.0	0.0	1	15,000.0	15,000.0
Total	0	0.0	0.0	0	0.0	0.0	1	15,000.0	15,000.0
Narrative Justification:									
Description									
This capability provides for development and acquisition of both operating and application software that supports Fixed Asset and Supply capabilities as related to the “Acquire to Retire” and “Plan to Stock” business processes, respectively, associated with Maintenance, Repair, and Overhaul – Supply (MRO-S) depot operations. Software requirements include systems programs, application programs, Commercial-Off-The-Shelf (COTS) software, independent subroutines, databases, equipment upgrades, Test Program Sets (TPS) and software documentation. System application software may be acquired through: (1) the purchase of a COTS system; (2) the development of new applications through either internal development (in-house) or contractual effort; or (3) the modernization of existing software that significantly expands and/or enhances its existing capabilities. Fixed Asset and Supply capabilities are related to the “Acquire to Retire” and “Plan to Stock” business processes, respectively, associated with MRO-S.									
Economic Analysis									
This requirement has been formally waived by HQ AFMC/FM based on previous higher level authority approval of this effort as well as related efforts in accordance with DoD FMR Volume 2b, Chapter 9, Section 1.5.14.9.									
Impact									
Planned software upgrades are critical to maintaining continuous visibility for supply management as well as real-time decisions regarding efficient and effective supply chain management due to changing conditions not only from the field but from within the supply wings themselves. The changes made to existing systems will allow successful implementation of more efficient maintenance concepts to effectively utilize the Air Logistics Complexes' resources. Efficiencies critical for long-term success will not be realized if projects remain unfunded.									

CSAG - Maintenance Division

Major Category	<u>Initial Request</u>	<u>Current Proj Cost</u>	<u>Approved Change</u> <u>Explanation</u>
Non-ADPE	169.940	169.611	-0.329
ADPE and Telcom	0.741	0.800	0.059
Software Development	22.447	26.514	4.067
Minor Construction	31.636	26.618	-5.018
 Total FY2023	 224.764	 223.543	 -1.221
Non-ADPE	214.158	214.158	0.000
ADPE and Telcom	0.674	0.674	0.000
Software Development	46.477	46.477	0.000
Minor Construction	0.000	0.000	0.000
 Total FY2024	 261.309	 261.309	 0.000
Non-ADPE	259.900	259.900	0.000
ADPE and Telcom	3.500	3.500	0.000
Software Development	12.120	12.120	0.000
Minor Construction	23.570	23.570	0.000
 Total FY2025	 299.090	 299.090	 0.000